

◆ Core Banking Basics

1. What is Core Banking?

Answer:

Core Banking is a centralized system that allows banks to process transactions like account creation, deposits, withdrawals, loans, and payments in real time across all branches and channels.

2. What are common Core Banking Systems?

Answer:

Finacle, Temenos T24, Flexcube (Oracle), Avaloq, SAP Banking Services.

3. What are key modules in Core Banking?

Answer:

- CASA (Savings/Current)
- Loans

- Deposits (FD/RD)
 - Payments
 - GL (General Ledger)
 - Customer Information File (CIF)
 - KYC & AML
 - Channels (ATM, Mobile, Internet Banking)
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4. What is CASA?

Answer:

CASA stands for Current Account and Savings Account. It handles balance maintenance, interest calculation, charges, overdrafts, and transactions.

5. What is CIF?

Answer:

CIF (Customer Information File) is a unique customer profile containing personal, KYC, risk, and relationship details across all accounts.

6. Explain debit and credit in banking context.

Answer:

- Debit: Money going out of customer account
- Credit: Money coming into customer account

Every transaction impacts both customer account and GL.

7. What is GL and why is it important?

Answer:

General Ledger stores consolidated financial data. All transactions must reconcile with GL to ensure accounting accuracy and regulatory compliance.

8. What is EOD/BOD processing?

Answer:

- BOD: Initializes the system for the

- EOD: Interest posting, charges, batch jobs, reconciliation, reports
- EOD failures are high-severity issues.
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9. What is transaction reversal?

Answer:

Undoing a completed transaction due to failure, duplication, or customer request while maintaining audit trail.

10. Difference between online and batch transactions?

Answer:

- Online: Real-time (ATM withdrawal)
- Batch: Scheduled (interest posting, EMI processing)

◆ Payments & Integrations

11. What payment systems should a QA know?

Answer:

NEFT, RTGS, IMPS, UPI, SWIFT, ACH, Cards, ATM, POS.

12. Difference between NEFT, RTGS, IMPS?

Answer:

- NEFT: Deferred settlement
 - RTGS: Real-time, high value
 - IMPS: Instant, 24x7
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13. What is reconciliation in banking?

Answer:

Matching transactions between CBS and external systems (ATM, UPI, GL). Any mismatch is a financial risk.

14. How do you test third-party integrations?

Answer:

- Validate message formats (ISO / XML / JSON)
 - Timeout & retry scenarios
 - Partial failures
 - Data consistency across systems
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◆ Loans & Deposits

15. What are key loan testing scenarios?

Answer:

EMI calculation, interest type, prepayment, foreclosure, overdue charges, NPA marking.

16. Difference between simple and compound interest?

Answer:

- Simple: Interest on principal
 - Compound: Interest on principal + accumulated interest
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17. What is NPA?

Answer:

Non-Performing Asset – when loan EMI is overdue beyond a defined period (usually 90 days).

18. What are FD and RD?

Answer:

- FD: Lump sum deposit
- RD: Monthly installment deposit

20. What is AML?

Answer:

Anti-Money Laundering – monitoring suspicious transactions and reporting to regulators.

21. What is audit trail?

Answer:

Complete history of who did what and when. Mandatory for compliance and investigations.

◆ QA Strategy & Leadership (Manager Level)

22. How is banking QA different from normal QA?

Answer:

High data sensitivity, zero tolerance for financial errors, regulatory compliance, and production stability.

23. How do you prioritize test cases in Core Banking?

Answer:

Based on financial impact, customer impact, regulatory risk, and transaction frequency.

24. What is your approach to regression testing in banking?

Answer:

Strong automation for critical flows + manual validation for financial and regulatory scenarios.

25. How do you handle production defects?

Answer:

Immediate impact analysis → workaround → root cause → preventive test coverage → stakeholder communication.

26. What KPIs do you track as a QA Manager?

Answer:

Defect leakage, test coverage, automation %, EOD success rate, production incidents.

27. How do you ensure data integrity?

Answer:

Cross-system validation, DB checks, reconciliation reports, controlled test data.

28. How do you test EOD failures?

Answer:

Simulate job failures, restart scenarios, partial postings, and recovery validations.

29. How do you manage multiple banking applications?

Answer:

Clear ownership, dependency mapping, integration test cycles, and centralized defect tracking.

30. Biggest risk in Core Banking testing?

Answer:

Incorrect financial postings reaching production—small bugs can cause massive financial and regulatory damage.